



DIGITAL TRANSFORMATION

UNDERSTANDING BUSINESS GOALS, RISKS, PROCESSES, AND DECISIONS

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2. Organisational Goals, Strategies, and Digitisation

Many organisations rely on the assumption that they exist because they want to achieve something. Linked to this vision, there are (more or less) stated goals. Before we study how the digitisation of organisations can contribute to the fulfilment of goals, or the other way around, we first have to discuss and understand what organisational goals might be, and what it means to work strategically to achieve them. At the beginning of this chapter, we therefore give examples of different types of organisational goals. The strategy concepts are then presented, together with some challenges that may arise when organisations formulate and implement strategies. Throughout the chapter, we emphasise the role that digitisation may have in goal fulfilment as well as strategy realisation, and how digitisation may enable new strategies and goals. The chapter builds partly on strategy literature and partly on interviews with managers within organisations who work directly or indirectly with strategic business projects where IT plays a central, and in some cases crucial, role.

2.1. Organisational Goals

If the employees in an organisation are asked to identify the goals of their organisation, their answers will probably differ. There may be several reasons for these differences, but primarily it is a matter of different perspectives. What is the purpose of the organisation? Who should it benefit? How does it contribute to the development of its employees? If you are the CEO, the answer to the first two questions may be “the shareholders and other important stakeholders”. The answer to the last question may be “through stimulating tasks”. If you are a seller,

your answers may be “customers” and “opportunities for achieving sales bonus”. This illustrates that there are many types of goals within organisations, some of which are written down and determined by the board and management, while others are more personal. From the perspective that IT should be contributing to organisational goal fulfilment, it is necessary to sort and prioritise the various goals.

2.1.1. Goals, Time Perspectives, and Goal Conflicts: Some Examples

There are some basic issues that can be considered starting points in a discussion about the goals of organisations. One is the need to factor in a time perspective. An organisation must be able to achieve some goals in a relatively short time, for example within a year. Others are more long-term and extend five, ten, or fifteen years into the future. The long term is especially important when organisations are identifying how digitisation affects them, and prioritising which IT systems to invest in. Are they investing to maintain the competitiveness of the current business model? Will the technology ensure that new products and value propositions can be developed in the long term? (We return to how digitisation can affect business models in the next chapter.) Within banks, for example, (but also in other industries) it is common for people to be organised into different business divisions or groups. These divisions have plans for IT investments that may extend over periods of three to five years. Such plans indicate how the business will allocate its resources, i.e., what they will invest in. In addition, there are elements within the overall organisation that take care of overarching infrastructure, such as databases. An IT manager for a business area in a large bank described challenges in prioritising IT investments:

Of the resources spent on IT projects, about 19% goes to compulsory projects, 19% to maintenance projects, 30% to strategic investments and 32% to business ventures. What you first have to cut down on is the business part. Everything that is compulsory is prioritised as this is based on legislation. In second place comes maintenance projects, the do-or-die projects. The next step [the third] is strategic development. We have a really huge system park, so we need to plan for five to fifteen years ahead when it comes to strategic development. Such projects are like big dragons that cost a lot, but it can be hard to capitalise on the benefits

they generate at once. It would be great if we could do that and also distribute it over a long period of time, but it is difficult to measure such immediate benefits. Then [in fourth place] comes the business ventures, if there is anything left. My main responsibility lies at this level. I have a project portfolio with different bricks, but no mortar. But it's even worse for those that are responsible for the big giants [steps 1-3 above], these are projects where you cannot stop individual projects without affecting the others.

Some frustration can be sensed in this quotation. An organisation carries a digital backpack in its everyday life that may weigh them down, as it contains, among other things, life support functions. It is therefore not always possible to simply open the backpack and fill it with new digital solutions to whatever extent an organisation desires. An important reason for this is that organisations are complex phenomena. A drawing of the organisation may show it as pretty well sorted, with straightforward linear operations, when it in fact is relatively multi-layered and multidimensional. This means that there is often consensus regarding the organisation's overall goals, but when moving down into the different layers, you soon find that there is a variety of goals in the organisation. These goals are given different priorities depending on where someone is active in the organisation.

The quotation is also an example of how time affects the nature of goals and priorities. Short-term goals, such as units produced per month, customer satisfaction per quarter, or sales per half-year, can often be quite easily measured and followed up. The longer the time horizon, the greater the likelihood that the goals of organisations are non-quantifiable (we return to the long-term goals connected to the dragons in the example above in Chapter 8, when we discuss project portfolios). These goals are an expression of the long-term endeavour and alignment of the organisation's operations, rather than anything concrete and verifiable. Here, the difference between what can be perceived as vision and goals also becomes somewhat unclear. These goals and visions also often change over time.

In relation to the time perspective, it is also necessary to take into account the fact that many organisations have multiple hierarchical levels. In larger companies and public organisations, these levels are often referred to as strategic, tactical, and operational levels. At the strategic level, we find the top management of the organisation, for

example a CEO, with function managers such as the Financial Manager (CFO), IT Manager (CIO), Human Resources Manager (HR Manager), and so on. These are the people who are primarily expected to formulate the long-term overall goals, and are responsible for continuously monitoring how well they are fulfilled in the various functions of the organisation. At the tactical level (as in the bank example) the overall goals should then be transformed into unit-specific goals that are more measurable and can be implemented at the operational level, where the everyday production of goods and services takes place.

This ideal image rarely reflects real happenings in organisations, however. Working with different goals tends to be simultaneous with and parallel to various parts of the organisation. The everyday lives of business executives are often packed with operational issues, and an individual seller at the operational level may occasionally manage to derive strategically important contracts. Seen from a digitisation strategy perspective, there are many examples of individual initiatives at an operational level having led to changes in goals as well as strategies. Establishing email, using smartphones, and more, have come to affect working methods and business models without having been introduced or guided by business objectives. The digitisation of mass media in the form of digital cameras and photo editing has snuck through many small decisions, but has had great implications regarding, for example, staffing and news design.

In other words, effective IT utilisation has rarely been initiated by the top management or driven by organisational goals. It has often instead been the result of initiatives from individual employees or groups who have struggled to convince others in the organisation that digital initiatives can be of strategic importance.

For example, the newly appointed HR manager of a large global company group (operating in over 100 markets; an organisation with almost 5,000 employees, and 35 local sales organisations) found that the HR function was neglected. He found that information was unclear regarding, for example, competence among employees. There was thus a need to catalogue, categorise and structure master data (central data) and to automate the most common HR transactions, such as salary, leave, and vacation. The perceived deficiencies in the organisation's HR function involved, among other things, their origin in different views

of its role. To communicate the need for a digital renewal of the HR function, the HR manager established a clear goal for the HR function:

My predecessor believed that HR is a function that should wait for the business to express their need for HR support. I believe that we are a profession. The business does not always know what they want or what they need. We should therefore be able to look around the corner and foresee the needs that may arise.

The quotation is an example of the fact that the establishment of goals in organisations depends, among other things, on where in the organisation they are formulated. The HR manager further noted:

The company's opinion was that HR was very slim, they believed that it was almost anorexic. The first thing I did was a current situation analysis, where I excavated all costs and what people did. I found that, for example, they did not report within the HR function. People who worked in HR reported instead to a country manager somewhere, or to someone who recruited them locally. I came to the conclusion that we had an overall HR cost of almost ten million euros. The management group had not previously understood, they had never seen it that way. Then I said that this is the cost basis on which we are to transform our HR function. My goal was to get down to a cost of seven million euros for HR, although we at the same time would invest in new digital technology. We could see that in comparison with other organisations, we were under-invested in terms of technology. So I gave it a number, we were going to reach seven million euros.

A quantitative goal, reducing costs for the HR department by three million euros, became the starting point for the HR manager and how he communicated with others in the management group. As a first step, it was determined that better IT support was needed, as the existing system was somewhat inefficient. They chose SuccessFactors, a cloud-based system for managing an organisation's human capital through payroll management, recruitment, personnel, and so on. The system is a standalone application that downloads data from the rest of the organisation. The system was introduced almost entirely through the HR manager's initiative:

To accomplish this, I took chances as they appeared. When we had problems with incentive programs, I used them to initiate a new system. Then I got to implement the first module in this program [SuccessFactors].

After that, I got no as an answer every time I argued for a new module. Each time! Everyone thinks it's fantastic, but the CEO is doubtful. So when we argue for it in the management team, they reply "No, we're waiting. It looks expensive." So I've had to prove it made a difference and so I finally got to implement it module by module. So instead of taking a year, I'm now in the third year of implementation.

Despite the fact that the HR manager felt that he had communicated a clear goal (to reduce costs by three million euros), his enthusiasm was not shared fully by the other members of the management group. Among other things, he noted that:

The goals of the project were not formulated by the CEO. There is a difference in the view of whether we are a strategic department or just some kind of support. I believe we have strategic value. My boss only cares whether we are cost-effective. If he was interested, then maybe he would see the value creation that this could enable. He is beginning to realise it now, but that is because we now have managed to push forward the HR positions.

The introduction of the actual system is a project that involved different phases:

First, we threw out the system we had used for measuring goals because it was far too arbitrary. It was a direct cost saving to implement a modern system instead of the homemade one we had used, because we got rid of a lot of maintenance costs. Then I managed to buy a module that you can use to identify development opportunities and performance and to build the basis for relevant benchmark figures. Now we are looking at connecting it to the payroll systems that the company group uses around the world.

As the new HR system came into place, it became obvious that it was not only the system that the organisation needed to update. The following illustrates that strategic work on digitising information flows is not obvious in an organisation if IT only is considered a support function:

What we have done here is something the whole organisation needs to do, within each department and division. Today we have about forty different systems within the organisation, through untamed growth over time. Because some of these systems have reached their technological limit, this was also partly a forced IT change. Many departments work in too many systems, making it complicated to obtain data. Now, all the other departments talk about how well the HR department is doing—and

that they have to do the same. This project has become a catalyst for the rest of the organisation.

The goals set by the HR manager have been important in gaining acceptance for the system and therefore pushing it forward:

My boss is used to people selling things that never happen. So I just sold this digital project based on cost savings. I started with value but noticed that it was an argument that received no response. At the same time, I have been able to show results. No one else in the management group has saved 30% and is about to halve their staff—and in fact has almost done it. Nobody has dared to stick their neck out by proposing such a clear goal as I have.

2.1.2. Organisational versus Personal Goals

Another important aspect when considering organisations and their goals is that organisations, as we discovered in Chapter 1, are a collection of individuals. If, for example, we receive a salary from an organisation, we probably have the same interest as the rest of the organisation when it comes to making long-term positive financial results, because there is a clear connection between the cessation of the organisation and the absence of our salary. In the long term, however, payment is rarely, or perhaps never, the main reason why an individual works in an organisation day after day. There are additional values, such as being part of a social community and self-realisation, or even a desire to contribute to a better world. The individuals in an organisation have (more or less) explicit personal goals, that is to say, things they hope to achieve through all the time they spend working.

If an individual's personal goals deviate too far from the organisation's goals, there is a clear risk of conflict. In turn, this can affect the individual's will to make sensible efforts at work. If this is true for several key persons, then it may have consequences for an organisation's overall goal fulfilment. This can be the case particularly in organisations where the business model is based on a digital product (we will offer examples of such business models in the next chapter). In these organisations, the staff is generally made up of a few key individuals, such as designers, programmers, and project managers, even though the turnover is usually in the hundreds of millions. Such organisations can be particularly vulnerable to conflicting goals at the individual level.

It is therefore important to ask oneself: how can I understand and interpret organisational goals? A common way to do this is to make a rough and simplified division of the goals, categorised as either financial or non-financial. We start with a review of financial targets.

2.1.3. Financial Goals

It is often assumed that the overall goal of owners of a company, such as the shareholders of a limited company, is to maximise their return on investment ($\text{ROI} = \text{value of profits in the financial statement in relation to the value of the assets in the balance sheet}$). Of course, there may also be many other reasons why someone owns a share of a company, such as tradition, technological development, self-determination, good citizenship, and power. There are, in other words, many possible drivers. But financial goals, whether in terms of profit maximisation or just long-term survival, are important. Today, for example, the vast majority of citizens in Sweden are shareholders in, and thus owners of, various companies via the government-run pension system, although they are rarely aware of which companies. The ROI target is a priority for these pension schemes. Financial goals are also fundamental for a business, as they enable it not only to initiate new investments and survive in the long term but also to continue to provide financial returns to its owners.

The profit maximisation perspective assumes that a company's actions are basically rational. This means that all of the activities that take place at the company must aim to contribute to its financial goals. Activities that do not do this should be stopped. This type of rational argument for goal fulfilment is one reason why many companies continuously strive to streamline their operations. For example, the automation of certain functions in an organisation can reduce costs. The development of products via digitisation can contribute to increased competitiveness and revenues. Increased competitiveness is necessary for organisations that are active in a competitive market if they wish to survive in the long term.

It is not just in private companies with financial goals that striving for efficiency is central. Public organisations must ensure that tax revenues cover the costs of providing services to the citizens of, for example, a municipality. Income from members and donors has to cover the costs for non-profit organisations. Profit maximisation is probably not the overall goal for either public or non-profit organisations, though.

Instead, it may be providing the best possible healthcare, giving help to the vulnerable, or contributing to a safer upbringing for children. As financial goals are still central to such organisations, however, target conflicts can easily arise. A medical doctor will be frustrated when a county council budget does not allow the treatment of patients by use of a certain sort of medicine, or the manager of an orphanage may be frustrated when the organisation lacks the financial resources to accept more children.

Studies of digitally driven process transformation in various industries such as publishing and printing, grocery retailing, and healthcare show, as expected, that some succeed better than others, and some fail completely. It is common to these industries, however, that IT increases productivity. Of course, it can contribute to significantly more than that. Digitisation in these industries also leads to improved quality regarding goods and services or to new goods and services. We will return to this in the next chapter.

2.1.4. Non-financial Goals

Although profit maximisation and rational efficiency efforts increase an organisation's ability to become more competitive, they may also have negative consequences if they are an organisation's sole focus. In the short term, a company can become very profitable by being cost-effective, but if this is achieved at the expense of necessary investments and stressed staff, then the profitability may quickly subside. Companies are not fully rational, but rather are characterised by limited rationality. Decision-makers in a company do not have access to all conceivable information when making a decision, and can only process limited amounts of data (more on that in Chapters 5–7), and therefore, they are satisfied if the company achieves or surpasses a defined minimum goal. This is a common approach in many small businesses with one or a few owners, and no or very few employees. The reason for starting a company may be that the alternative is unemployment or, for example, that someone's greatest interest in life is to cook, which ultimately makes them dream of running a small restaurant of their own. Whatever the reason, the financial goal over time for many small businesses is to make enough profit for continued survival rather than profit maximisation, growth, and expansion.

Different types of focus on profit to a large extent represent an internal perspective regarding an organisation's goals. But an organisation is not solitary: it exists alongside other actors, with whom it has relationships, similar to those of the individuals working in it. These relationships are based on the fact that the actors have some form of interest in the organisation's activities, something that is displayed in the "stakeholder model". The starting point of this model is that organisations strive for a stable relationship with their environment. This is achieved when there is a balance between the contributions that stakeholders make to the organisation and the values the organisation offers to stakeholders. Of course, the owners represent an important stakeholder as they contribute capital and are rewarded with a return on that capital. The difference is that in the stakeholder model, the organisation cannot solely address its owners; attention must be paid to all stakeholders. The organisation therefore needs to establish both financial and non-financial goals. Employees contribute with work efforts and the rewards they receive from the organisation are salary, social community, and in some cases, opportunities for self-realisation (although far from all organisations offer that!). Customers contribute with payments and are rewarded with goods and services. The state and municipality contribute with infrastructure, education, and services, and are rewarded with taxes, fees, and jobs. The environment and future generations may also be seen as stakeholders if they are affected by the organisation's actions, or if they take advantage of its efforts to run a sustainable business. Thus, such parties should also be considered, regardless of whether they are represented by a strong voice or not.

Digitisation plays an important role in maintaining and developing stakeholder interests and engagement, but the most fundamental aspect of digitisation in this context is that it allows for more comprehensive communication and richer exchanges of information, which are crucial in all sound relationships, whether organisational or personal.

2.1.5. To Balance Different Goals

Finally, it is also important to highlight that there should not be too many goals, and at the same time, they should complement each other. Thanks to digital information systems, organisations have greater opportunities than ever to measure and follow up on their activities, for

example, compiling financial information to measure against financial goals, or following up on time, material, customer satisfaction, and so on, to measure against non-financial goals. Information systems thus enable an organisation to set many goals, financial and non-financial, which reflect how well it is performing. Far too many goals can, however, obscure what an organisation is striving for and what it is actually managing to achieve. The goals should also be balanced against one another, because what good is it in the long term to have, for example, very satisfied employees if customer satisfaction is low? Balanced scorecards (BSC) is an example of a governance model for organisations that try to manage different types of goals and how they relate to the organisation's strategies. The fundamental idea of the BSC concept is that from a few key perspectives, all of which affect each other (in the original model, there are four: financial, customer, internal processes, and research and development), the organisation sets goals and indicators that provide information about how well it is performing in each. The BSC should also provide information about how well the organisation's strategies are working.

The scorecard is today often based on computerised information systems. If they are well-designed, they also reflect the effects of digitisation: the development perspective should capture the value of new products and practices that are partly or entirely based on digitisation; the process perspective should capture the efficiency and efficiency improvements (or deteriorations) brought about by digitisation; and the customer perspective should grasp how customers perceive contact, delivery, and service via digital channels and how customer loyalty and branding is enhanced (or adversely affected) by digitisation. Even the financial perspective may reflect the monetary effects of digitisation. For some investments, this correlation may be possible to identify, but often the connection between digital efforts and the monetary results of the business is too long-term and too difficult to isolate, making it difficult to pinpoint how digitisation affects a company's monetary performance.

Goals themselves have little or no value to an organisation if they do not lead to action. Follow-up is therefore necessary but applying goal stages and measurement is not just a numbers exercise. How the organisation achieves its goals, and how it can act strategically, are therefore also of great importance.

2.2. Organisational Strategies

If an organisation's goals, financial or non-financial, tell it what to achieve, then its strategies tell it *how* to achieve those goals. The purpose of a strategy will differ depending on the organisation. For a company, the purpose may be developing competitiveness. For a hospital, the purpose is probably to provide the best possible care with available resources and to get patients to choose (or not choose) their hospital (that is, to develop competitiveness and attract the "right" users).

It is often emphasised that strategies are about achieving long-term goals, and therefore guide the organisations' long-term commitments, regardless of the particular type of strategy. This means that the level of detail in strategy is limited, which often makes it necessary to break it down into different activities. In the next chapter, we will return to this idea through the business model concept. Here, however, we will describe some challenges in strategy work and then examine what strategies can be and how they can be evaluated.

2.2.1. Challenges in Strategy Work

An important starting point when discussing strategy is the assumption that people are always rational when deciding which strategy is the most appropriate. However, there are several challenges regarding rationality in strategy work. The biggest concerns are how to deal with uncertainty about the future and what we really want to achieve. We must understand in part how to take uncertainty into account, as well as precisely what we ultimately want to achieve, based on the goals we have set.

We have access to large amounts of information, but limited capacity to deal with them and understand exactly what we need. We easily miss relevant factors in the background information and even very complex decisions are often reduced to comparisons between simple numerical values. An additional worry is that when we think we understand our data, it is often missing important information on the projected effects of different strategies and how the future will unfold. At best, we have an idea about the future, but it is often quite unclear. Finally, it can be incredibly difficult to prioritise our stated goals and identify which of them are the most important. The goal for some organisations may be to

maximise profits and from that point of view, this process could seem relatively simple. It can be very difficult to know the actual value of what is being accomplished. We simply do not have the exact data required. Nor is it obvious how much risk should be accepted to try to maximise profit, and the values of others also have to be considered.

To consider it metaphorically, we may imagine that we are on a ship in a port. The goal of our trip is to reach another port far across the sea within a certain timeframe. The sea is full of visible islands and hidden underwater reefs. We must first therefore develop a plan, a strategy, for how to travel across the sea. We then map how to reach the other port on a chart, i.e., we concretise our strategy. We then identify the data available on the chart. We note islands, calculate winds and water currents, plan for water and food on-board as well as fuel for the vessel, however, some data may be missing—for example, are we sure that all underwater reefs are included? Once we slip our moorings and head off on our journey, we must therefore be prepared to revise parts of our chart as we gain access to new data. Our original strategy must also be very well thought-out and robust so that our corrections do not disrupt it. Otherwise, there is a great risk that we will end up stranded on one of the islands, or even worse, that a reef will tear holes in the hull and sink the whole ship. Even if we do succeed in navigating between islands and reefs, there is still the risk of unforeseen storms.

For organisations, global financial crises, pandemics, and armed conflicts are examples of storms of hurricane strength and have proven themselves to be very difficult to foresee throughout history. In such drastic changes, it is important that an organisation's strategies are well thought-out and that they contribute to its stability. When sailing on calm seas, the challenge is to arrive before one's competitors, i.e. to ensure that strategy contributes to developing competitiveness. So how can this be achieved? Let us look at a company group within the telecom industry.

2.2.2. An example of strategy formulation

Despite, or perhaps because of, the challenges of formulating strategy decisions suggested by the above metaphor, many organisations expend many resources in doing so. The following example is a global company group within the telecom industry that offers IT-based products to a

global market. They themselves estimate that about 40% of the world's mobile traffic travels via their networks. The annual report describes their overall strategy:

Our vision is a connected society, where everything that benefits from being connected becomes connected. The conversion to the connected society brings about a clear customer segmentation, when different operators take on different roles in the changing ICT market, and we adapt our operations accordingly.

Here, the telecom company identifies the world they are to navigate: the connected society in which the company is a strategically important actor.

Our ambition is to lead the market transformation to ensure that we continue to be relevant to both existing and new customers as the new ICT market grows. Our basic strategy is unchanged: we will achieve success in our existing core business and become a leader in selected growth areas, while we maintain industry-leading operating margins and strong cash flow.

The company emphasises that they have a basic strategy. A basic strategy should remain unchanged and representative of the company for a long period of time. The company has a core business, which should have a better operating margin (gross profit divided by turnover) than comparable margins in the industry. A strong cash flow means that payments into the company over time will be significantly greater than outgoings. To achieve this goal, the strategy is based on assumptions that the company will become a leader in selected areas and also expand its business to new areas.

We have two core businesses: Radio, Core Networks and Transmission, and Telecom Services. Radio, Core Networks and Transmission is aimed at the network equipment market and includes a broad portfolio of offers that build on industry standards ... we generate our telecom services sales through a professional service that is focused on the operating costs of the operators. Some revenue is also generated through network installation services aimed at the operators' CAPEX (capital expenditure, investments, as distinct from operating expenses, OPEX).

In the quotation, the company's market is identified as network equipment, and their offer to this market should be broad and based on industry standards. Sales should be accomplished through the sale not

only of gadgets but also of services (including the operation of entire telecom networks) that can help to develop customers' financial results.

Become a leader in selected areas. We strive to meet demand and needs in the changing ICT market through mobility. Our leadership in technology and services in the core business, the company's global economies of scale, and competence, is a platform from which the company can develop and expand its operations to selected areas, so as to seize growth opportunities.

Here, the strategy formulation indicates that there are areas where there is not yet a market, or where the market is relatively small. The wording also suggests that a substantial part of the company's research and development is focused on defining these areas. Also, rather than focusing on current profitability, the focus is on growth, probably to provide a basis for future profitability.

IT plays a crucial role in realising the strategy. One reason for this is that the company's products are digital. The core business is physical products, such as switches and masts, but it is software that determines the products' capacity. Similarly, telecom services are based on a largely digital platform. But it is not just the products that are digital. Access to functional and powerful IT in, for example, research and development work, is crucial for the development of new products in new areas.

The company is thus also an example of an organisation whose strategy process cannot treat IT and digitisation as standalone functions, as is still common in many organisations. Technology is often a prerequisite; without it, it would not be possible to conduct a business at all. It is therefore necessary, when formulating strategies for different goals, to consider how IT contributes to their fulfilment. We will discuss how this can be done in the next chapter. First, in order to further illustrate what strategies can or cannot be, we shall describe different approaches to strategy.

2.2.3. Strategy Approaches

The term "strategy" is used in many contexts, sometimes without any relation to the term's actual meaning. To have a strategy regarding payments for a common fruit basket at work is hardly what the strategy literature addresses as strategy...

In companies, the term “strategy” is often synonymous with business strategy, i.e., a plan for how to go about developing competitiveness. There are no standard templates for what constitutes a strategy; the design depends, among other things, on the type of strategy and what aspect of a business it addresses. Nilsson, Olve, and Parment (2010) present a basic compilation of different strategy approaches, based on Mintzberg et al. (2009). These can be divided into two main types: those focused on design and those emphasising organic development. The design approach is characterised by a focus on planning and positioning. In this approach, the organisation assesses its environment and builds operations based on what it believes will create the greatest competitiveness. If we return to our seafaring metaphor above, this approach corresponds to establishing a plan and drawing it on the map. Critics of this approach point out that it does not matter how much one plans, and the ability to formulate and implement strategies depends primarily on the resources that an organisation possesses; that is, what kind of ship it has, the crew, their competencies, and the availability of, for example, fuel.

Critics of positioning also do not see strategies as static, and note that as an organisation’s resources change, their strategy will also change. Organisations must be able to adapt during the course of the journey, in order to achieve their goals. In this context, adaptability can be regarded as a strategy in itself—i.e., having an idea of where one wants to go, but above all being able to quickly perceive when circumstances are changing and therefore that working methods, skills, alliances, and more must also change, and improvising to take advantage of such changes. Of course, this adaptability is more easily achieved in a smaller and newer organisation than in a larger and older one. The ability to achieve goals also increases when more and more of the necessary resources can be purchased as standardised services via digital interfaces.

In practice, there are few (perhaps no) organisations that consciously function according to only one of the strategic approaches outlined above, as each has its own merits. Strategy work is often characterised by a combination of both approaches. We assume, for example, in this book, that the benefits of digitisation are crucial to realising an organisation’s goals. In this way, we can say that we agree with the design approach. We design digitisation based on what we want to achieve and what

we perceive our competitors are achieving. At the same time, there are always existing IT-related resources in an organisation that must be taken into account when formulating strategies. Our employees have certain skills, we have certain systems, knowledge, and contacts for a certain type of system acquisition and development, and our suppliers and customers have certain equipment and preferences. As a result, strategy development does not necessarily mean new IT investments, and it could sometimes instead involve simply using existing resources in a better way. In that scenario, resources should affect the content of the particular strategy. From this perspective, we can agree that strategies primarily depend on the resources of the particular organisation.

2.2.4. Coordinating Strategies at Different Organisational Levels

Strategies and goals are found at different levels within organisations. Three categories that are commonly used, especially in larger organisations, are group strategy, business strategy and functional strategy. A group is where a parent company organises several subsidiaries. A group strategy may therefore include, for example, how coordination between subsidiaries produces synergies that strengthen competitiveness. The telecom example above is an example of a group strategy. A business strategy shows how individual units within a group or stand-alone business units should compete. In many groups, there are differences between business units, and therefore business strategies may also differ in character. The different business areas in the telecom company are networks, digital services, managed services, and technologies and new businesses, and these emphasise different parts of the group strategy in their business strategies.

Functional strategies are the strategies belonging to different departments in a business unit, such as purchasing, production, and marketing strategies. In other words, there are a great variety of functional strategies within any one organisation. Some of them are formalised and written down, and others are less clearly recorded but present nonetheless. There are those who say that it is important that these different kinds of organisational strategies can be disentangled from one another, and that they should not be extensively governed by official organisational guidelines, which is known as “de-coupling”. In

this book, we connect research that claims that the different strategies in an organisation need to be congruent or coordinated with strategy. This means that an organisation's different corporate, business, and functional strategies rely on compatible common logics and consistent critical success factors. When formulating a strategy that includes how digitisation contributes to goal fulfilment (either explicitly or implicitly), it is necessary to consider this perspective. IT is utilised, and designed, in all functions and all business units. Its importance may vary. In some cases, there is reason to coordinate across devices or functionality, while in others this is unnecessary or even unproductive. Business needs and goals should direct IT usage and there may be reason to check that different parts of the business do not unintentionally and unnecessarily counteract or conflict with each other. Commercially available services and compatibility between IT systems across different organisations are becoming increasingly important. The strategic digitisation choices of organisation therefore increasingly depend on what is happening in the outside world.

The IT manager for a business group at a bank, who we met previously in this chapter's earlier section on goals, also described some challenges in coordinating and implementing digitisation strategies:

My office's role is to take the business plans and try to transform them into an IT plan that also extends over three years. It is up to us how to allocate resources, which blocks or areas that we will invest more in. Lo and behold, the wishes are usually 400% more than we will get from the finance side of the company. But also in relation to what IT is capable of delivering. This means we have to trade off. Financially, what can we spend on IT development? Then you have to also assess the extent to which we need to increase staff or if we need to move staff from one area to another. The crux of our bank is that both of these processes [the business group and the IT office meta-plan] are running simultaneously. Most of all, we would like the business plan to be completed and then IT can add its own plan, but the year is a little too short to work that way.

This indicates the challenge in moving from a strategic group plan to coordinating strategies from different departments, which in the quotation above, includes the business plan and the IT plan. It also illustrates that in organisations it is constantly necessary to prioritise, as resources are never endless. There are also practical circumstances that make it difficult to achieve ideal coordination of different strategies. But

strategies should give guidance regarding priorities in order to achieve the organisation's goals. The IT manager talks about the challenge of prioritising IT projects:

You have to keep many projects in the air simultaneously, in my case about 70. We therefore have continuous planning about which projects can be started. I can decide on these projects up to a certain level, but if we get over that level, they have to be decided on the next one, there is a hierarchy in it. Then, before any new projects are started, one must review the ongoing ones.

In addition, all projects can be changed several times: when we have made wrong estimations, when we need more money for development that we could not foresee, when we have to extend project time because of events which we didn't include in the feasibility study. In other words: more money, changed time or changed focus. To manage it, we have monthly meetings and sometimes also weekly meetings to decide how to adjust and handle the portfolio. Then we need to assess and compare projects.

Here we also see how the plan and strategy meet a problematic and partly unpredictable reality, where it is necessary to adapt and re-prioritise. In Chapters 8 and 9 we will discuss priorities in projects and project portfolios. It is also important to notice here that the bank uses projects as a way of deciding which IT investments to prioritise. The IT manager further emphasises the need for, and the challenge of, directing digital investments in the organisation:

In my business group, we own the channel infrastructure, that is, the office network, the internet bank and the mobile bank, all the channels that meet the customer directly or indirectly. We also own the next layer, service functions, such as keeping track of customers, CRM features, sending out reports, campaign management and segmentation of customers.

Beneath this, there are all the product systems, but we do not own these. Instead, the product units [in the bank] own the product systems regardless of which customer category a system serves. They have their own budget and their own IT resources. In case of cross-directional interdependences, I have to negotiate with the product units. I also have to take into account the bank's Business intelligence unit, which handles all database infrastructure.

So not only do I have to synchronise my business group's IT requirements, I'll also match with the other parties – the product and

database units – and their IT providers. This is a puzzle that is not easy to solve. Here, it is very important how the organisation is controlled and directed, who decides what makes the most business sense.

This shows that not everything can be solved with plans and guidelines, and that there is no clear hierarchy for digitisation issues. A large part of strategic work involves negotiations and discussions between different managers. The banking example shows that in this context, a well-functioning management that clarifies goals and strategies is necessary. In Chapter 4 we will further examine some aspects of management control.

2.2.5. Strategic Dialogues

Strategic dialogues are another important aspect of strategy work. An organisation, as we noted in the first chapter, consists of individuals. In order for them to understand and perhaps share their opinions about organisation strategies, they need to discuss them. It is through conversation that strategies are brought to life and become comprehensible. Without discussion, the strategic plan and work are at risk of becoming only a hypothetical scenario in a document. There are challenges, however, to achieving a well-functioning strategic dialogue. For instance, it is complex to run such a dialogue on multiple levels and via multiple functions in an organisation. An organisation is a chain of interconnected relationships. A major challenge in strategic discussion is therefore to identify existing chains and to determine which ones should exist and if there are any links missing in order to get the strategy to develop from words and dialogue into action.

An abstract idea about the future of an organisation can be concretised in a strategy. This is especially true for strategic discussions about digitisation and how it affects an organisation. Digitisation is in itself an abstract concept. On the one hand, it relates to digital information flows, a fact which probably seems obvious to most people, but on the other hand, it relates to building and maintaining organisational structures and routines that gainfully utilise these flows: for example, what are the effects, and what role does IT play? The mere introduction of technology rarely leads to the organisation's goals being fully achieved. There are many concepts and tools that can contribute to the strategic dialogue.

One such concept, the business model, will be further discussed in the next chapter.

2.3. Chapter Summary

In this chapter, we have discussed the importance of goals and strategies for organisations. It should be the very starting point when an organisation wants to decide how to work strategically with digitisation. IT has no intrinsic value; it only becomes valuable when it contributes to valuable digitisation and enables goal fulfilment. We have illustrated certain challenges when it comes to developing an organisation's goals. It is important to be aware of different time perspectives and target conflicts that may arise, as well as the fact that the smallest participants in organisations, e.g. employees, have their own personal goals involving both work and life. A plan or strategy document is therefore not adequate for coordination of organisational goals. Discussion, reconciliation, and negotiation are equally important. We have also explained that organisations often formulate financial and non-financial goals. Depending on the stakeholder, different goals have different levels of importance, which in turn places demands on an organisation in terms of the steps it takes to successfully balance its goal fulfilment.

The way to succeed in this balancing act is to develop and formulate strategies. Working strategically therefore means having a long-term plan for the realisation of organisational goals, although there are also several challenges in strategy work. We have highlighted that the organisation rarely (and perhaps never) has full access to useful and high-quality data. Conversely, access to data may be so extensive that it becomes hard to sort it sensibly! We will consider how best to address that challenge in Chapter 4. We have also illustrated that strategy views are important, as is the coordination of strategies at different levels within an organisation. We emphasised the importance of digitisation being a part of strategy (at different levels within the organisation) and not merely a task for a specialist department. Conducting strategic dialogue therefore becomes important in order to move from words to action. Describing the resources and activities within an organisation that will help it to reach its goals is another important step on the road from strategy to action. It has become common to try to describe these

functions in the form of a business model. This is why our next chapter is devoted to business models.

2.4. Reading Tips

The Canadian Henry Mintzberg is a commonly cited strategy researcher. His numerous publications include many thoughts about what strategy can be, and what it is not. Some of these are collected in this book:

- Mintzberg, Henry; Ahlstrand, Bruce and Lampel, Joseph (2009). *Strategy Safari: Your Complete Guide through the Wilds of Strategic Management* (2nd edn). Harlow: Prentice Hall/Financial Times.

Another strategy researcher who has made a big impression is Michael Porter, whose basic textbook from 1980 is still relevant. Porter was also relatively early to identify the strategic importance of IT:

- Porter, Michael E. (1980). *Competitive Strategy: Techniques for Analyzing Industries and Competitors*. New York: Free Press.
- Porter, Michael E. and Millar, Victor E. (1986). How information gives you competitive advantage. *Harvard Business Review* 63 (4), pp. 149–160, <https://doi.org/10.1016/b978-0-7506-7084-5.50007-5>.

The approach to strategy that Porter advocates has come to be called “the positioning school”. Critics point out, among other things, that it is an organisation’s resources that are crucial to its strategic choices. Criticism along these lines can be found in the below articles:

- Prahalad, Coimbatore Krishnarao and Hamel, Gary (1990). The core competence of the organization. *Harvard Business Review* 68 (3), pp. 79–91, <https://doi.org/10.1016/b978-0-7506-7088-3.50006-1>.
- Prahalad, Coimbatore Krishnarao (1993). The role of core competencies in the organization. *Research Technology Management* 36 (6), pp. 40–47, <https://doi.org/10.1080/08956308.1993.11670940>.

Attention is paid to the relationship between organisations' governance and strategy development in the field of strategic financial management. The control is considered here as a support when formulating and implementing strategies; it will also be adapted to the specific strategies. The importance of dialogue is also emphasised as an anchor for strategies, as described in the following books:

- Nilsson, Fredrik; Olve, Nils-Göran and Parment, Anders (2011). *Controlling for Competitiveness – Strategy Formulation and Implementation through Management Control*. Stockholm: Liber, Copenhagen: Copenhagen Business School Press.
- Nilsson, Fredrik; Petri, Carl-Johan and Westelius, Alf (eds) (2020). *Strategic Management Control – Successful Strategies Based on Dialogue and Collaboration*. Cham: Springer, <https://doi.org/10.1007/978-3-030-38640-5>.

